

|                  |           |           |          |        |
|------------------|-----------|-----------|----------|--------|
| <b>A + B + C</b> | 18,00,000 | 24,00,000 | 6,00,000 | 33.33% |
|------------------|-----------|-----------|----------|--------|

## Question : 2

From the following balance sheet of Ram Ltd. as at 31<sup>st</sup> March 2014 and 31<sup>st</sup> March 2015, prepare Comparative Balance Sheet

| <b>Liabilities</b>          | <b>31/3/13</b>  | <b>31/3/14</b>  | <b>Assets</b>    | <b>31/3/2013</b> | <b>31/3/2014</b> |
|-----------------------------|-----------------|-----------------|------------------|------------------|------------------|
| Equity Share Capital        | 1,20,000        | 1,60,000        | Land and Build   | 1,00,000         | 1,50,000         |
| Preferre Share Capital      | 60,000          | 95,000          | Plant and Mach   | 40,000           | 45,000           |
| <u>Reserves and Surplus</u> | 30,000          | 35,000          | Stock            | 60,000           | 82,000           |
| Profit and Loss A/c         | 18,000          | 20,000          | Debtors          | 40,000           | 45,000           |
| Bank O/D                    | 25,000          | 45,000          | Bills Receivable | 10,000           | 30,000           |
| Creditors                   | 25,000          | 30,000          | Prepaid Exp.     | 6,000            | 8,000            |
| Provision for Tax           | 15,000          | 22,500          | Cash at Bank     | 40,000           | 58,500           |
| Proposed Dividend           | 8,000           | 20,000          | Cash in Hand     | 5,000            | 9,000            |
| <b>Total</b>                | <b>3,01,000</b> | <b>4,27,500</b> | <b>Total</b>     | <b>3,01,000</b>  | <b>4,27,500</b>  |



**A + B + C**

18,00,000

24,00,000

6,00,000

33.33%

**Question : 2**

From the following balance sheet of Ram Ltd. as at 31<sup>st</sup> March 2014 and 31<sup>st</sup> March 2015, prepare Comparative Balance Sheet

| Liabilities                 | 31/3/13  | 31/3/14  | Assets           | 31/3/2013 | 31/3/2014 |
|-----------------------------|----------|----------|------------------|-----------|-----------|
| Equity Share Capital        | 1,20,000 | 1,60,000 | Land and Build   | 1,00,000  | 1,50,000  |
| Prefere Share Capital       | 60,000   | 95,000   | Plant and Mach   | 40,000    | 45,000    |
| <u>Reserves and Surplus</u> | 30,000   | 35,000   | Stock            | 60,000    | 82,000    |
| Profit and Loss A/c         | 18,000   | 20,000   | Debtors          | 40,000    | 45,000    |
| Bank O/D                    | 25,000   | 45,000   | Bills Receivable | 10,000    | 30,000    |
| Creditors                   | 25,000   | 30,000   | Prepaid Exp.     | 6,000     | 8,000     |
| Provision for Tax           | 15,000   | 22,500   | Cash at Bank     | 40,000    | 58,500    |
| Proposed Dividend           | 8,000    | 20,000   | Cash in Hand     | 5,000     | 9,000     |
| Total                       | 3,01,000 | 4,27,500 | Total            | 3,01,000  | 4,27,500  |



$$\% \text{ of increase / decrease} = \frac{\text{Difference in Amount}}{\text{Amount of base year}} \times 100$$

### SOLVED PROBLEMS

#### Question : 1

From the following Balance sheet of WHY Limited as on 31<sup>st</sup> March 2016 and 31<sup>st</sup> March 2015, prepare comparative Balance Sheets

| <b>Liabilities</b>   | <b>31/3/15</b>   | <b>31/3/16</b>   | <b>Assets</b>  | <b>31/3/2015</b> | <b>31/3/2016</b> |
|----------------------|------------------|------------------|----------------|------------------|------------------|
| Equity Share Capital | 6,00,000         | 9,00,000         | Fixed Assets   | 12,00,000        | 15,00,000        |
| Prefer Share Capital | 3,00,000         | 6,00,000         | Investment     | 3,00,000         | 2,00,000         |
| Reserves and Surplus | 3,00,000         | 4,00,000         | Current Assets | 5,00,000         | 11,00,000        |
| Debentures           | 6,00,000         | 5,00,000         |                |                  |                  |
| Current Liabilities  | 2,00,000         | 4,00,000         |                |                  |                  |
| <b>Total</b>         | <b>20,00,000</b> | <b>28,00,000</b> | <b>Total</b>   | <b>20,00,000</b> | <b>28,00,000</b> |



**Question 6 :**

The following are the revenue statement for the two years ended 31<sup>st</sup> March, 2014 and 2015 are furnished by M/s.Akshara:

|                                          | 2014   | 2015   |
|------------------------------------------|--------|--------|
| Sales                                    | 45,000 | 48,000 |
| <b>Less:</b> Purchase cost of goods sold | 42,000 | 45,000 |
| Gross Margin                             | 3,000  | 3,000  |
| Commission Income                        | 1,500  | 4,500  |
| Gross Revenue                            | 4,500  | 7,500  |
| <b>Less:</b> Administrative Expenses     | 900    | 1,125  |
| Selling and Distribution expenses        | 1,800  | 2,700  |
| Finance expenses                         | 1,125  | 900    |
| Total Expenses                           | 3,825  | 4,725  |
| Net Profit before taxation               | 675    | 2,775  |
| Tax provision                            | 75     | 900    |
| Net profit after taxation                | 600    | 1,875  |

Prepare comparative analysis of the above revenue statements.

**Solution :**



|                                                   |             |    |
|---------------------------------------------------|-------------|----|
| (2) <b>Loan Funds : (Long term Loans)</b>         |             |    |
| Debentures                                        |             | X  |
| Bank Loans Fixed                                  |             | X  |
| Deposits from public                              | X           |    |
|                                                   |             | XX |
| Capital Employed                                  | (1+2)       | XX |
| <b>II. APPLICATION OF FUNDS :</b>                 |             |    |
| <b>1. Fixed Assets (at cost less depr.)</b>       |             |    |
| Goodwill                                          |             | X  |
| Land & Building                                   |             | X  |
| Machinery etc                                     |             | X  |
|                                                   | (1)         | X  |
| <b>2. Investments</b>                             |             |    |
| In Government securities                          |             | X  |
| In Shares of other companies                      |             | X  |
|                                                   | (2)         | X  |
| <b>3. Net Current Assets : (a-b)</b>              |             |    |
| (a) Current Assets, Loans & Advances :            |             |    |
| (i) <b>Current Assets :</b>                       |             |    |
| Stock in trade                                    |             | X  |
| Debtors                                           |             | X  |
| Cash & Bank                                       |             | X  |
| (ii) <b>Loans &amp; Advances :</b>                |             |    |
| Prepaid Exps.                                     |             | X  |
| Bills Receivable                                  |             | X  |
| Advance to Suppliers                              |             | X  |
| Advance to Staff                                  |             | X  |
|                                                   | (a)         | m  |
| (b) <b>Current Liabilities &amp; Provisions :</b> |             |    |
| (i) <b>Current Liabilities :</b>                  |             |    |
| Bills Payable                                     |             | X  |
| Creditors                                         |             | X  |
| O/S Exps.                                         |             | X  |
| (ii) <b>Provisions :</b>                          |             |    |
| Provision for tax                                 |             | X  |
| Proposed Dividend                                 |             | X  |
|                                                   |             | X  |
|                                                   | (b)         | X  |
|                                                   | 3 = (a - b) | X  |
| Net Assets (1+ 2 + 3)                             |             | XX |



09/02/2026  
Monday

Ratio  $\rightarrow$  comparison of two figures (numbers)

## 3.2 Ratios An

### • Types of Ratios.

↓  
Liquidity Ratios/  
Short-term Solvency

↓  
Leverage/  
Long-term sol-  
vency Ratio

↓  
Activity/  
Efficiency/Per-  
formance/  
Turnover

↓  
Profitability  
Ratios

### I Liquidity Ratio or Short-term Solvency Ratio

- following are the types:

(1) Current Ratio

$$= \frac{\text{Current Assets}}{\text{Current Liabilities}} : 1$$

(2) Liquid/Quick/Acid-test Ratio

$$= \frac{\text{Quick Assets}}{\text{Quick Liabilities}}$$

### II Leverage Ratio or Long-term

(1) Capital Structure Ratio

(i) Equity

(ii) Debt

(iii) Debt to Equity

(iv) Debt to Total Asset

(v) Capital

(vi) Proprietary Ratio



Pref = ?

## (ii) Debt-Equity Ratio

= Borrowed Funds : Owner's Fund

Debt → Borrowed  
Eq →

## (iii) Capital Gearing Ratio

= Fixed Interest or Dividend bearing securities : Fluctuating interest or D.b.s.

= Borrowed Fund + Preference Share Capital : Owned Fund - Preference Share Capital

## (iii) Proprietary Ratio

= Proprietary Fund / Shareholder / Owned : Total Asset → N.F.A + C.A.

because %



## (1) Profitability Ratios based on Sales

(i) Gross Profit Ratio

$$= \frac{\text{Gross Profit}}{\text{Sales}} \times 100 = \frac{\text{NPAT}}{\text{Sales}} \times 100$$

(ii) Net Profit Ratio

$$= \frac{\text{NPAT}}{\text{Sales}} \times 100$$

(iii) Operating Profit Ratio

$$= \frac{\text{Operating Profit}}{\text{Sales}} \times 100 = \frac{(\text{COGS} + \text{Operating Exp.})}{\text{Sales}} \times 100$$

(iv) <sup>related to operating expenses</sup> Operating Ratio

(v) Expense Ratio

$$= \frac{\text{Expense}}{\text{Sales}} \times 100$$



(2) Profitability Ratios based on overall return on investment.

(i) Return on Investment / Capital Employed. (overall)  
$$= \frac{\text{Earnings Before Interest \& Tax}}{\text{Capital Employed}} \times 100$$



(iii) Return on Equity (only for shareholders)

$$= \frac{\text{NPAT - Preference dividend (if any)}}{\text{Net worth/Equity shareholder's fund}} \times 100$$